

Q1. Toshi Hoda, CFA, is an analyst at a brokerage firm. Hoda holds shares in a company that he begins to cover.

According to the Standard relating to avoid or disclose conflicts, Hoda is required to disclose his personal holdings to:

- A. his employer only.
- B. his employer and his firm's clients only.
- C. his employer, his firm's clients, and prospective clients.

Q2. Suzanna Bermi, CFA, manages portfolios for retail clients. A friend asks her if Bermi can provide investment advice in Bermi's spare time. The friend offers a donation to Bermi's favorite charity in exchange for Bermi's advice. Bermi accepts the offer and starts providing investment advice to her friend immediately after sending an email to her firm's compliance department about the arrangement, including the fact that she receives no cash payments from her friend.

Has Bermi most likely violated the Standards?

- A. No
- B. Yes, the Standard relating to additional compensation arrangements
- C. Yes, the Standard relating to communication with clients and prospective clients

Q3. According to the Standard related to communication with clients and prospective clients, members must:

- A. only distinguish between fact and opinion in the presentation of investment analyses.
- B. only promptly disclose material and nonmaterial changes in the investment processes they use to select securities.
- C. both distinguish between fact and opinion in the presentation of investment analyses and promptly disclose material and nonmaterial changes in the investment processes they use to select securities.

Q4. While waiting in the business class lounge before boarding an airplane, Becca Msafari, CFA, an equity analyst, overhears a conversation by a group of senior managers, including members of the Board, from a large publicly listed bank. The managers discuss staff changes necessary to accommodate their regional expansion plans. Msafari hears several staff names mentioned. Under what circumstances could Msafari most likely use this information when making an investment recommendation to her clients?

- A. Under no circumstances

- B. If she does not breach the confidentiality of names of staff
- C. If the discussed changes are unlikely to affect investor perception of the bank

Q5. Are either of following member actions in violation of the Standard relating to misconduct?

- Action 1: Getting arrested for participating in a nonviolent protest during a holiday weekend in a country where such protests are considered acts of civil disobedience
 - Action 2: Declaring personal bankruptcy because of large investment losses
- A. No
 - B. Yes, Action 1 is a violation of the Standard
 - C. Yes, Action 2 is a violation of the Standard

Q6. According to the Standard relating to suitability, which of the following is correct?

- A. An appropriate suitability determination will prevent some investments from losing value
- B. Members must judge the suitability of investments in the context of the client's total portfolio
- C. The higher the expected investment return, the lower the need to determine the investment's suitability

Q7. David Jacobs, CFA, and Megan Amari, CFA, work for Global Investment Inc. and receive fees for client referrals.

Prior to signing service agreements with clients, Jacobs informs his clients about the referral fee arrangement without providing an estimated dollar value. Amari discloses all details of the arrangement, including the estimated dollar value, to her clients only after the service agreements are signed. Who has violated the Standards?

- A. Amari only
- B. Jacobs only
- C. Both Amari and Jacobs

Q8. Which of the following statements is accurate according to the GIPS standards?

- Statement 1: A firm must perform verification to claim compliance with the GIPS standards.
 - Statement 2: Verification ensures accuracy of specific composite presentations.
 - Statement 3: Verification is performed with respect to an entire firm.
- A. Statement 1
 - B. Statement 2

C. Statement 3

Q9. To comply with the Standard relating to knowledge of the law, members are required to take which of the following actions?

- Action 1: Acquire detailed knowledge of all the laws relating to their activities
 - Action 2: Dissociate from activities of others that they believe are unethical
- A. Action 1 only
B. Action 2 only
C. Both Action 1 and Action 2

Q10. According to the Standards, a member engages in information-based manipulation when she:

- A. uses public information to implement trading strategies with an intent to exploit perceived market inefficiencies.
B. induces other market participants to trade a security by issuing an overly optimistic projection of a security's value.
C. relies on false rumors spread by other market participants to secure a dominant position in an underlying security.

Q11. Ethical conduct is most likely behavior that:

- A. conforms to expectations as laid out by laws and regulations.
B. is perceived to be beneficial as per society's ethical expectations.
C. simply considers both the direct benefit and indirect consequences on others.

Q12. Judith Sway has passed the Level I CFA exam. She writes in her resume: "I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry." She adds: "The skills the CFA Program cultivates are key assets for my future career development." Has Sway most likely violated the Standards?

- A. No
B. Yes, by stating: "The skills the CFA Program cultivates are key assets for my future career development."
C. Yes, by stating: "I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry."

Q13. Lin Liang, CFA, is an investment manager and an auto industry expert. Last month, Liang sent securities regulators an anonymous letter outlining various accounting irregularities at Road Rubber Company. Shortly before he sent the letter to the regulators, Liang shorted Road stock for his clients. Once the regulators opened an

investigation, which Liang learned about from his sources inside the company, Liang leaked this information to multiple sources in the media. When news of the investigation became public, the share price of Road immediately dropped 30%. Liang then covered the short positions and made \$5 per share for his clients. Liang least likely violated which of the Standards?

- A. Misconduct
- B. Market Manipulation
- C. Priority of Transactions

Q14. According to the Standard relating to misrepresentation, a member is most likely required to:

- A. disclose his intended use of an external manager.
- B. always provide a benchmark for investment strategies.
- C. provide attribution to a member who is no longer with the firm when issuing a report.

Q15. Riti Malhotra, CFA, is a research analyst covering the oil and gas sector. Malhotra visits a covered company's new oil refining facility. The company arranges a chartered flight as there are no commercial flights serving the location of the new refinery. Meals are also provided for by the company at a nearby hotel. Malhotra lets the company pay for the expenses. Has Malhotra violated the Standards?

- A. No
- B. Yes, the Standard relating to loyalty, prudence, and care
- C. Yes, the Standard relating to independence and objectivity

Q16. Tyler Cowen, CFA, retains all records relating to recommendations to buy or sell a security, but discards all notes that do not lead to a change in recommendations. Cowen's colleague Marie Thomsen, CFA, maintains all her records in electronic form but does not retain hard copies for some of her recommendations. Who has most likely violated the Standard relating to record retention?

- A. Cowen only
- B. Thomsen only
- C. Both Cowen and Thomsen

Q17. Which of the following claims can an asset management firm most likely make regarding the GIPS standards?

- A. Claim GIPS compliance using the GIPS Compliance Statement
- B. State that the firm will achieve GIPS compliance by a future date

C. Claim partial GIPS compliance with details on areas of non-compliance

Q18. Which of the following is a recommended procedure for compliance with the Standard relating to responsibility of supervisors? Members should encourage their firms:

- A. only to provide their code of ethics to clients.
- B. only to mingle their code of ethics with their compliance procedures.
- C. both to provide their code of ethics to clients and to mingle their code of ethics with their compliance procedures.

Q19. All clients of John Chapman, CFA, are standard fee-paying clients. Chapman believes that half of his clients would benefit from premium service in exchange for higher fees. He offers the premium service only to these clients. Later that day, Chapman distributes an investment recommendation only to those clients for whom he deems it suitable. Has Chapman violated the Standard relating to fair dealing?

- A. No
- B. Yes, by offering the premium service only to clients he believes would benefit from it
- C. Yes, by distributing an investment recommendation only to those clients for whom he deems it suitable

Q20. According to the Standard relating to loyalty, which of the following statements are correct?

- Statement 1: "Members must not deprive their employer of the advantage of their skills and abilities."
 - Statement 2: "Members are required to subordinate important personal and family obligations to their work."
 - Statement 3: "Members are prohibited from entering into an independent practice for compensation while still employed."
- A. Statement 1 only
 - B. Statement 1 and Statement 2 only
 - C. Statement 1, Statement 2, and Statement 3

Q21. Which of the following is not a requirement of the GIPS standards? Firms are required to:

- A. have their performance records verified by an independent third party.
- B. include all discretionary, fee-paying portfolios in at least one composite.
- C. present a minimum of five years of annual investment performance compliant with GIPS standards.

Q22. To claim compliance with the GIPS standards, a firm that has been in existence for two years must:

- A. wait one year to present three years of GIPS-compliant performance.
- B. wait three years to present five years of GIPS-compliant performance.
- C. initially present GIPS-compliant performance since the firm's inception date.

Q23. Which of the following is a recommended procedure for compliance with the Standard relating to performance presentation? When presenting their firm's investment performance, members should:

- A. present the performance using a single representative account.
- B. maintain the data and records used to calculate the performance being presented.
- C. exclude terminated accounts as part of performance history with a clear indication of when the accounts were terminated.

Q24. Teresa Staal, CFA, is an investment officer in a bank trust department. She manages money for celebrities and public figures, including an influential local politician. She receives a request from the politician's political party headquarters to disclose his stock holdings. The request indicates that local law requires the disclosure. What steps should Staal most likely take to ensure she does not violate any of the Standards?

- A. Provide the information and inform her client
- B. Send the requested documents and inform her supervisor
- C. Check with her firm's compliance department to determine her legal responsibilities.

Q25. Michael Cane, CFA, is an investment manager. Cane's proxy voting policy includes a provision that voting proxies may not be required in all instances if they do not benefit clients. The proxy voting policy is disclosed to his clients only upon request. Has Cane most likely violated the Standard relating to loyalty, prudence and care?

- A. Yes, only because the voting of proxies is required in all instances
- B. Yes, only because the proxy voting policy is disclosed to his clients only upon request
- C. Yes, both because the voting of proxies is required in all instances and because the proxy voting policy is disclosed to his clients only upon request

Q26. Immediately after taking the CFA Level I| exam, Tim Riley posts on social media broad topic areas that were not tested on the exam. He also posts an article on

social media questioning the relevance of CFA Program for professional practice. Has Riley violated the Standards?

- A. No
- B. Yes, by posting broad topic areas not tested on the exam
- C. Yes, by questioning the relevance of CFA Program for professional practice

Q27. Which of the following is a recommended procedure for compliance with the Standard relating to diligence and reasonable basis? Members should encourage their firms to:

- A. consider the suitability of each investment solely on its own merits.
- B. develop maximum levels of scenario testing of computer-based models used in evaluating financial instruments.
- C. appoint an individual employee or a group of employees to determine that research reports have a reasonable and adequate basis.

Q28. A portfolio invested in two assets has an expected return of 11%. If expected returns for Assets A and B, respectively, are 8% and 12%, then the portfolio weight of Asset B is closest to:

- A. 25%.
- B. 50%.
- C. 75%.

Q29. A company plans to do an upward revaluation of an asset under the revaluation model. All else being equal, the company's debt-to-assets ratio will:

- A. decrease.
- B. remain unchanged.
- C. increase.

Q30. Capital restrictions most likely:

- A. allow capital to earn the highest return.
- B. help a country exercise control over its external balance.
- C. lead to a higher rate of growth than would otherwise occur.

Q31. An individual can invest \$19,000 today and receive \$20,000 in one year's time. If her required rate of return is 5%, the rate of return on the investment is:

- A. less than the required rate of return.
- B. equal to the required rate of return.
- C. greater than the required rate of return.

Q32. A construction company enters into a 2-year building contract. Payment of the consideration will be at the end of the building contract when all performance obligations are met. Costs incurred provide an appropriate measure of progress towards completing the contract. The construction company has incurred 30% of the costs during the first year.

Assuming it is highly probable that revenue will not be subsequently reversed, at the end of Year 1, the construction company should most likely recognize a:

- A. receivable.
- B. contract asset.
- C. contract liability.

Q33. A portfolio has a mean return of 2.2% and a standard deviation of returns of 2.5%. If the specified minimum target return is 2.2%, the sample target semideviation is:

- A. less than 2.5%.
- B. equal to 2.5%.
- C. greater than 2.5%.

Q34. A company uses both debt and equity financing as part of its capital structure. If the government reduces the corporate tax rate, the company's WACC will:

- A. decrease.
- B. remain the same.
- C. increase.

Q35. An analyst examines the distribution of portfolio returns in bullish and bearish market scenarios. To calculate the expected return on the portfolio in a bearish market scenario, the most appropriate approach is to use:

- A. the multiplication rule.
- B. conditional expected values.
- C. the total probability rule for expected value.

Q36. Which of the following statements is the most accurate description concerning the internal rate of return (IRR) method? IRR:

- A. is sensitive to changes in the firm's WACC.
- B. is the preferred method for evaluating mutually exclusive projects.
- C. assumes that all cash flows from a project will be reinvested at the computed IRR.

Q37. An example of an expansionary fiscal policy is:

- A. a reduction in bank reserve requirements.
- B. an increase in public spending on social goods and infrastructure.
- C. the purchase of government bonds through open market operations.

Q38. Which is the first step in the standard process of hypothesis testing?

- A. Collect data
- B. State the hypothesis
- C. Specify the level of significance

Q39. When forecasting earnings, an analyst's best approach is to:

- A. utilize the results of financial analysis and professional judgment.
- B. calculate a range of possibilities solely based on the results of financial analysis.
- C. establish a precise forecast based on the results of economic and financial analysis.

Q40. An analyst gathers the following sample: 0, 2, 3, 4, 6. The value of the fourth quintile is:

- A. 4.0.
- B. 4.8.
- C. 5.6.

► **Question 41 of 90**

An analyst computes the following analysis of variance (ANOVA) table for a simple linear regression:

Source	Sum of Squares	Degrees of Freedom	Mean Square
Regression	144	1	144
Error	48	4	12
Total	192	5	---

Q41. The standard error of the estimate for the regression is closest to:

- A. 3.5.
- B. 6.9.
- C. 12.0.

Q42. Inventory values are recorded at the lower of cost or:

- A. market.

- B. net realizable value.
- C. estimated selling price.

Q43. The money supply most likely increases when a central bank:

- A. purchases bonds.
- B. increases the policy rate.
- C. raises the reserve requirement.

Q44. Ensuring that the composition of a board of directors is aligned with a company's governance principles is most likely a responsibility of the:

- A. risk committee.
- B. audit committee.
- C. nominating committee.

Q45. Which of the following strategies is most common in business-to-business markets where the universe of potential customers is relatively small and easily reached?

- A. Direct sales
- B. Omnichannel
- C. Traditional channel

► Question 46 of 90

A portfolio manager considers the following joint probability function:

Return on Foreign Currency	Return on Foreign Portfolio	
	$R_P = -10\%$	$R_P = 25\%$
$R_C = -15\%$	0.6	0
$R_C = 30\%$	0	0.4

Q46. The covariance (in % squared) between the returns on the foreign portfolio and the foreign currency is closest to:

- A. 294.
- B. 378.
- C. 819.

Q47. Which of the following methods is most appropriate to assess the impact of a geopolitical risk?

- A. Groupthink

- B. Scenario analysis
- C. Linear quantitative modeling

Q48. The archetype of country behavior most likely characterized by globalization and cooperation is:

- A. hegemony.
- B. bilateralism.
- C. multilateralism.

Q49. According to the pecking order theory of capital structure, managers prefer:

- A. public debt over private debt.
- B. public equity over public debt.
- C. internal financing over private debt.

Q50. Which of the following statements best describes the effect of finance leases on financial statements?

- A. Balance sheet effects differ based on whether the lease is a direct financing lease or a sales-type lease
- B. The lessor reports a profit on the sale of the leased asset on the income statement in the case of a sales-type lease
- C. A lessee reports the interest portion of the lease payment as operating cash flow under IFRS and financing cash flow under US GAAP

► Question 51 of 90

An analyst is comparing the solvency of a company over the past two years using the information below:

Year 2	¥ Millions
Total debt	2,300
Total shareholders' equity	17,000
Total assets	20,000
Net income	375
Interest payments/interest expense	200
Taxes paid	125
Ratios in Year 1	
Debt to capital	12.7%
Interest coverage	2.9

Q51. The best conclusion the analyst can make about Year 2 is that compared with Year 1, the company's solvency has:

- A. deteriorated because both ratios have weakened.
- B. remained the same.
- C. improved because both ratios have strengthened.

► Question 52 of 90

The following information is available on a retailer (in \$ thousands):

Summarized Income Statement	
Revenues	17,210
Cost of goods sold	9,283
Salary and wage expense	2,981
Rent expense	1,275
Depreciation expense	761
Income tax expense	823
Net income	2,087
Partial Cash Flow Statement	
Operating cash flows	
Net income	2,087
Add: non-cash items	---
Depreciation expense	761
Increase in accounts receivable	(123)
Increase in inventory	511
Decrease in prepaid expenses	(37)
Decrease in accounts payable	(190)
Increase in wages payable	133
Operating cash flows	3,142

Q52. An analyst is converting the cash flow statement to the direct method. The amount (in \$ thousands) that she calculates for "Cash paid to suppliers" is closest to:

- A. 8,582.
- B. 9,984.
- C. 11,222.

Q53. Under the indirect method, which of the following should be subtracted from net income to arrive at cash flow from operating activities?

- A. Purchase of equipment
- B. Decrease in accounts payable
- C. Amortization expense of intangible assets

► Question 54 of 90

An analyst gathers the following USD/GBP exchange rate information:

USD/GBP spot rate	1.11721
USD/GBP 1-year forward rate	1.11851

USD/GBP is the amount of USD per 1 GBP.

Q54. The 1-year forward points are closest to:

- A. 1.2.
- B. 13.0.
- C. 25.0.

► Question 55 of 90

An analyst gathers the following information to test whether the population correlation coefficient equals zero:

Sample correlation coefficient	0.4
Sample size	30

Q55. The test statistic is closest to:

- A. 2.3.
- B. 2.5.
- C. 2.7.

Q56. According to Modigliani and Miller, in a perfect capital market, as leverage increases, a company's value:

- A. decreases.
- B. remains the same.
- C. increases.

Q57. Which of the following fiscal policy tools is an automatic stabilizer?

- A. Capital expenditures
- B. Social benefits through transfer payments
- C. Current government spending on goods and services

Q58. Which of the following areas is most likely to apply natural language processing?

- A. Data encryption
- B. Compliance functions
- C. Analysis of structured data

Q59. Credit cycles:

- A. can amplify business cycles.
- B. are defined as fluctuations in real GDP.
- C. tend to be shorter than business cycles.

Q60. If a company raises its prices to consumers, which of the following is most likely to result in an increase in total revenue of the company?

- A. The company's products are price elastic
- B. The company is in a competitive industry
- C. The company has a fragmented consumer base

Q61. A central bank is least likely to:

- A. implement fiscal policy.
- B. oversee the payments system.
- C. manage foreign currency reserves.

Q62. The possibility of new entrants into an industry is considered in the calculation of:

- A. the concentration ratio.
- B. the Herfindahl-Hirschman index.
- C. neither the concentration ratio nor the Herfindahl-Hirschman index.

► **Question 63 of 90**

An analyst gathers the following fiscal year information (in ¥ millions) for a company:

Cash flow from operating activities	28,808
Purchase of equipment	1,300
Sale of equipment	1,750
Long-term debt repayment	470
Increase in short-term borrowing	930

Q63. FCFE is closest to:

- A. 28,798 million.

- B. 29,258 million.
- C. 29,718 million.

Q64. A form of economic integration that allows free movement of goods, services, and factors of production among member countries and has a common trade policy against non-members best describes a:

- A. free trade area.
- B. customs union.
- C. common market.

► Question 65 of 90

An analyst gathers the following information for a company's fiscal year beginning 1 January:

Net income	€9,200,000
Interest expense on convertible debt	€1,600,000
Common shares outstanding on 1 January	6,000,000
Common shares issued on 31 March	4,000,000
Common shares outstanding on 31 December	10,000,000
Income tax rate	35%

Q65. If the convertible debt was outstanding for the entire year and is convertible into 2,000,000 common shares, reported diluted EPS is closest to:

- A. €0.93.
- B. €0.98.
- C. €1.02.

Q66. Private companies most likely have:

- A. less share price transparency compared to public companies.
- B. similar share price transparency as public companies.
- C. greater share price transparency compared to public companies.

Q67. In the capital allocation process, companies should:

- A. assume no new competition in the marketplace.
- B. incorporate sunk costs in the investment analysis.
- C. ignore the impact of an investment on short-term accounting numbers.

Q68. An investment makes ten payments of \$10,000 per year, with the first payment today. If the annual discount rate is 6%, the present value of the investment is closest to:

- A. \$72,098.
- B. \$73,601.
- C. \$78,017.

Q69. With respect to a simple linear regression, the F-distributed test statistic is most appropriate to use when testing if:

- A. the intercept is significantly different from zero.
- B. the independent and dependent variables are significantly positively correlated.
- C. there is a significant linear relationship between the dependent and independent variables.

Q70. Which of the following factors is most likely to lead to economies of scale?

- A. Supply constraints
- B. Duplication of product lines
- C. Specialization by workers

Q71. In monopolistic competition, the level of output that minimizes average cost is:

- A. less than the actual level of output in the long run.
- B. equal to the actual level of output in the long run.
- C. greater than the actual level of output in the long run.

Q72. The reversal of a prior fiscal year inventory write-down is:

- A. prohibited.
- B. recognized as a reduction in cost of sales.
- C. recognized as an increase in other operating income.

Q73. Debt as a proportion of total capital is most likely greatest in which of the following life-cycle stages of a company?

- A. Start-up
- B. Growth
- C. Mature

Q74. Which of the following changes to compensation packages would most likely result in management becoming more risk averse in its corporate decision making?

- A. Decreasing the length of management tenure

- B. Eliminating stock grants and options from management compensation
- C. Tying management compensation to the size of the company's business

Q75. Members of a company's board of directors are most likely required to:

- A. report to the company's CEO.
- B. display loyalty to the company.
- C. work for the company or the industry in which the company operates.

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An analyst collects the following information about a company:

Net profit margin	4%
Return on average assets	8%
Return on average equity	16%
Revenue	€2,500,000

Q. The company's:

- A. total asset turnover is 4.
- B. financial leverage ratio is 4.
- C. average shareholders' equity is €625,000.

Q76. The company's:

- A. total asset turnover is 4.
- B. financial leverage ratio is 4.
- C. average shareholders' equity is €625,000.

Q77. An analyst is reviewing the property, plant, and equipment disclosure related to a company's warehouse. Under the revaluation model, the analyst would least likely be able to determine:

- A. the original date of acquisition.
- B. how the fair value was obtained.
- C. the carrying amount under the cost model.

Q78. Which of the following types of financial ratios is most likely to be positively affected by an inventory write-down compared to if the write-down had not occurred?

- A. Activity ratios
- B. Liquidity ratios
- C. Solvency ratios

► Question 79 of 90

The following table summarizes income statement data for a manufacturing company (in € thousands):

	Year 2	Year 1
Net revenue	2,611	2,325
Cost of goods sold	1,700	1,550
Gross profit	930	775
Selling, general administrative expense	295	260
Operating income	635	515
Interest expense	55	55
Pre-tax income	580	460
Income tax	155	120
Net income	425	340

Q79. Compared with Year 1, the Year 2 common-size income statement may indicate:

- A. a lower tax rate.
- B. sale of a new, differentiated product.
- C. cost cutting in selling, general and administration.

Q80. If a company's receivables turnover ratio is equal to its payables turnover ratio, the company's cash conversion cycle is equal to its number of days of:

- A. payables.
- B. sales outstanding.
- C. inventory on hand.

► Question 81 of 90

An analyst gathers the following information about a company:

Book value of debt	\$80 million
Market value of debt	\$150 million
Share price	\$60
Shares outstanding	10 million
Cost of equity	7%
Cost of debt	4%
Tax rate	30%

Q81. Based on this information, the company's WACC is closest to:

- A. 6.16%.
- B. 6.40%.
- C. 6.51%.

Q82. In contrast to non-probability sampling, probability sampling:

- A. depends on factors other than probability considerations.
- B. has a high risk of generating a non-representative sample.
- C. gives every member of the population an equal chance of being selected.

Q83. A random variable $Y = \exp(X)$ is lognormally distributed, where X is normally distributed. The distribution of Y :

- A. is skewed to the left.
- B. is often used to model stock prices.
- C. has a mean equal to $\exp(M)$, where y is the mean of X .

Q84. Using long-term debt or equity to finance working capital needs most likely:

- A. reduces the cost of financing working capital.
- B. provides the opportunity to borrow only as needed.
- C. reduces the need to access capital markets in times of stress.

Q85. A company spends €10 million on start-up costs that are expensed for accounting purposes and fully amortized over five years using the straight-line method for tax purposes. If the start-up costs will result in future economic benefits, the tax base at the end of Year 1 is:

- A. €0 million.
- B. €8 million.
- C. €10 million.

Q86. In an economy with long-run expected inflation of 3% and a real trend rate of growth of 2%, the neutral policy rate is closest to:

- A. 1%.
- B. 3%.
- C. 5%.

Q87. Private contracts, such as bank loan agreements, are most likely to provide an effective disciplinary mechanism to ensure high financial reporting quality because:

- A. lenders monitor managers and pay close attention to the firm's financial reports.

- B. loan covenants require the firm to meet specific financial ratios in order to renew the loan.
- C. loan covenants may allow the lender to recover all or part of their investment if certain financial conditions are triggered.

Q88. Unaudited financial statements are most likely presented in an):

- A. annual report.
- B. quarterly report.
- C. proxy statement.

Q89. If a company purchases, at a premium, bonds that it expects to hold until maturity, they are most likely measured on the balance sheet at:

- A. fair value.
- B. historical cost.
- C. amortized cost.

Q90. An intangible asset with an indefinite useful life is:

- A. not subjected to impairment testing.
- B. tested at least annually for impairment.
- C. only tested for impairment if there is an indication of impairment.